

POP UPI

*Rewiring the **UPI** Rewards Equation*

A product teardown of India's rewards-first payments app - onboarding, payment flow, POPcoins mechanics, and the revenue model behind the 2% back.

TL;DR: a differentiated reward model, redemption is the gap

PROBLEM

POP gives 2% back in POPcoins on every UPI transaction, but earning and redeeming live in two disconnected flows - payment is instant, spending isn't.

INSIGHT

The business model appears sound and differentiated, based on public information - brand-funded rewards, not user-funded. The likelier gap is in the product: coins are earned automatically but redemption requires a conscious re-engagement many users may never make.

RECOMMENDATION

Two bets close that gap - instant checkout-level redemption, and smart nudges for dormant balances - each tied to a specific funnel breakpoint and a measurable 90-day KPI.

What follows: business model → personas → onboarding & payment flow → the POPcoins mechanic → where the funnel breaks → two redesign bets → a 90-day plan → competitive position → verdict.

How POP profits without taxing the user

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

FACT

1 Zero cost to the user

POP gives 2% back in POPcoins on every UPI transaction - but doesn't fund it from its own margin.

2 Brand-funded rewards (B2B2C)

D2C brand partners pay POP for acquisition and retention access to its user base.

3 A proven playbook

Mirrors Flipkart Supercoins - a model POP's founder, ex-Flipkart, built and scaled before.

4 Real scale

200+ D2C brand partners, 1M+ monthly active transactors, 6L+ daily UPI transactions.

Sources: [Entrepreneur India](#) · [Inc42](#) · [Campaign India](#)

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FACT

Brand partners pay POP

Acquisition & retention access

POP funds POPcoins pool

2% of every UPI transaction

User earns POPcoins

No cost to the user

User redeems at brands

1 POPcoin = ₹1 discount

Brand gains repeat customer

Cycle repeats

🔄 cycle repeats on the next purchase

A second revenue engine: the RuPay card

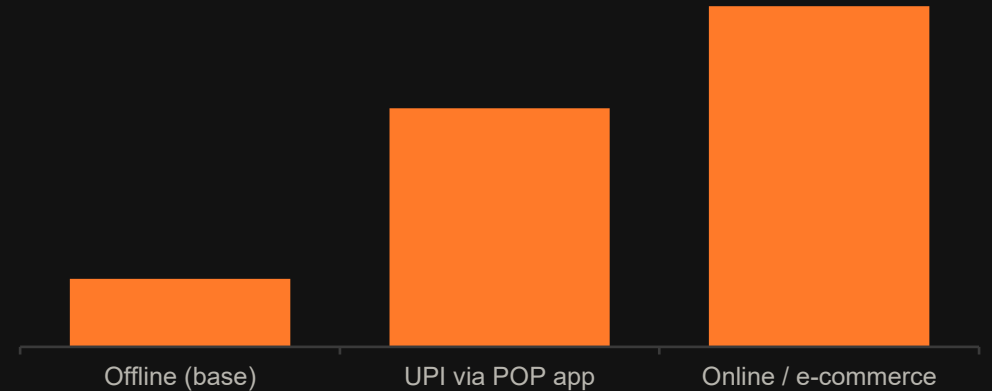
FACT

- Co-branded with YES Bank on RuPay - one of the only networks with native UPI-on-credit support
- Zero joining fee; ₹399 + GST annual fee, waived above ₹1.5L in annual spend
- Welcome benefits worth ~₹5,000 across Blinkit, Cleartrip, Zomato Gold Mini, PharmEasy Plus, Rapido & Cult Sport
- POPcoins redeemable at 500+ brands via the POP Club app - up to ₹1 per coin on select redemptions
- Existing YES Bank credit cardholders are not eligible - acquisition-only, not a cross-sell to its own base

Sources: [YES Bank official product page](#) · Kiwi ([gokiwi.in](#)) card review, Apr 2026

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

FACT



UPI via the POP app earns a base 2 + bonus 5 POPcoins/₹100 - net 7, still below the 10 earned on online shopping.

HYPOTHESIS

This card reveals a second monetization layer beyond brand-funded UPI rewards - interchange fees and revolving credit interest (47.88% APR disclosed) likely fund part of the economics too, not brand partnerships alone.

Who's actually using POP

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

ASSUMPTION



Priya, 24

Working professional

Wants routine payments to earn without friction.

- Pays for bills, food & transport via UPI daily
- Rarely opens POPshop unless reminded
- Values speed over rewards exploration



Arjun, 27

Deal-seeker

Tracks every POPcoin and redemption window.

- Checks POPcoins balance weekly
- Redeems regularly across partner brands
- Price-sensitive, compares before spending



Meera, 31

Casual user

Pays via POP casually; coins pile up unused.

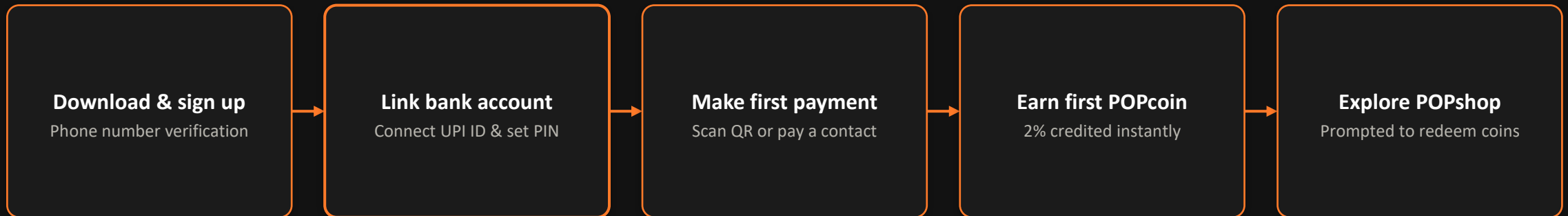
- Uses POP only for select payments
- Opens POPshop rarely, if at all
- Dormant balance - a key churn signal

Persona archetypes synthesized from publicly available product context - not based on POP user research.

From download to first POPcoin

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

FACT



HYPOTHESIS

Hypothesis: bank linking may be a major onboarding friction point.

From tapping pay to redeeming coins

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

PAYMENT



SHOPPING



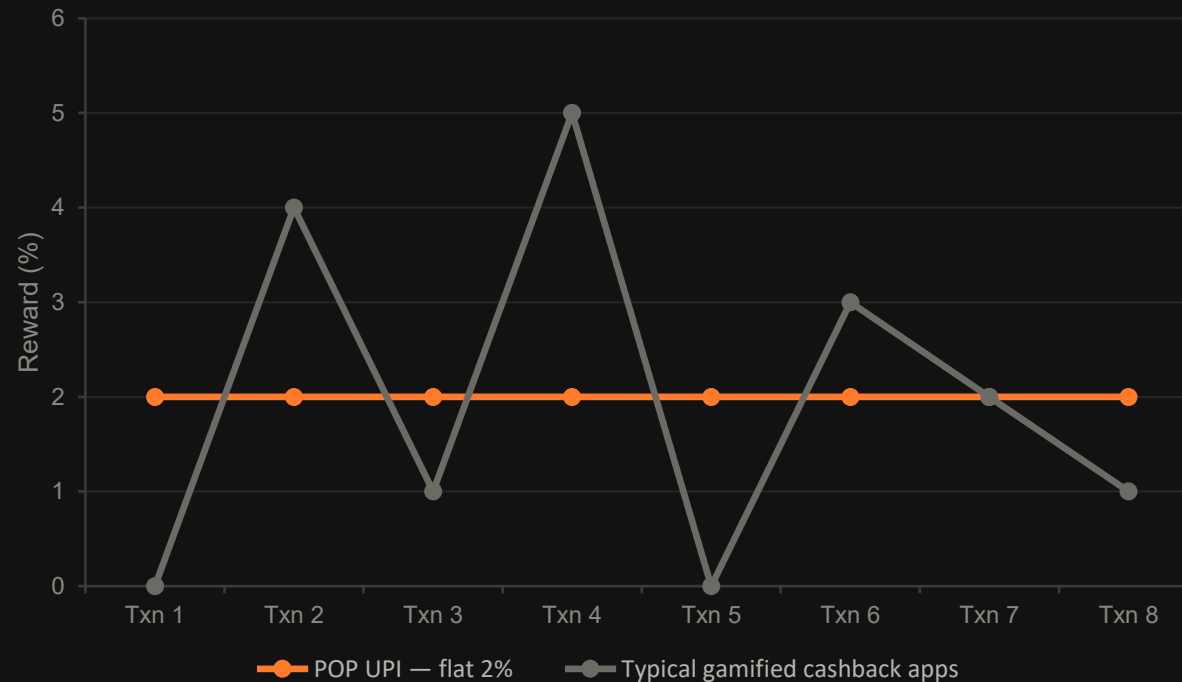
HYPOTHESIS

- POPcoins are earned instantly, but redemption sits in a separate app flow - a natural re-engagement gap.
- Closing that loop (e.g. instant checkout redemption) is the single biggest lever for improving retention.

Sources: [POP UPI company profile](#) · [Inc42](#)

Why a flat 2% beats a gamified reward

HYPOTHESIS



**Illustrative - reflects the typical variable/gamified reward ranges seen across UPI cashback apps, not exact competitor figures.*

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

FACT

Predictable beats gamified

A fixed 2% on every transaction builds trust, versus competitors' scratch-card or random cashback.

1 POPcoin = ₹1

Removes math friction - users instantly know what their reward is worth, no conversion needed.

Wide redemption utility

Usable across 200+ D2C brands, avoiding the “points that rot in a wallet” problem.

The risk

Redemption lives in a separate app flow - it requires re-engagement outside the payment moment.

HYPOTHESIS

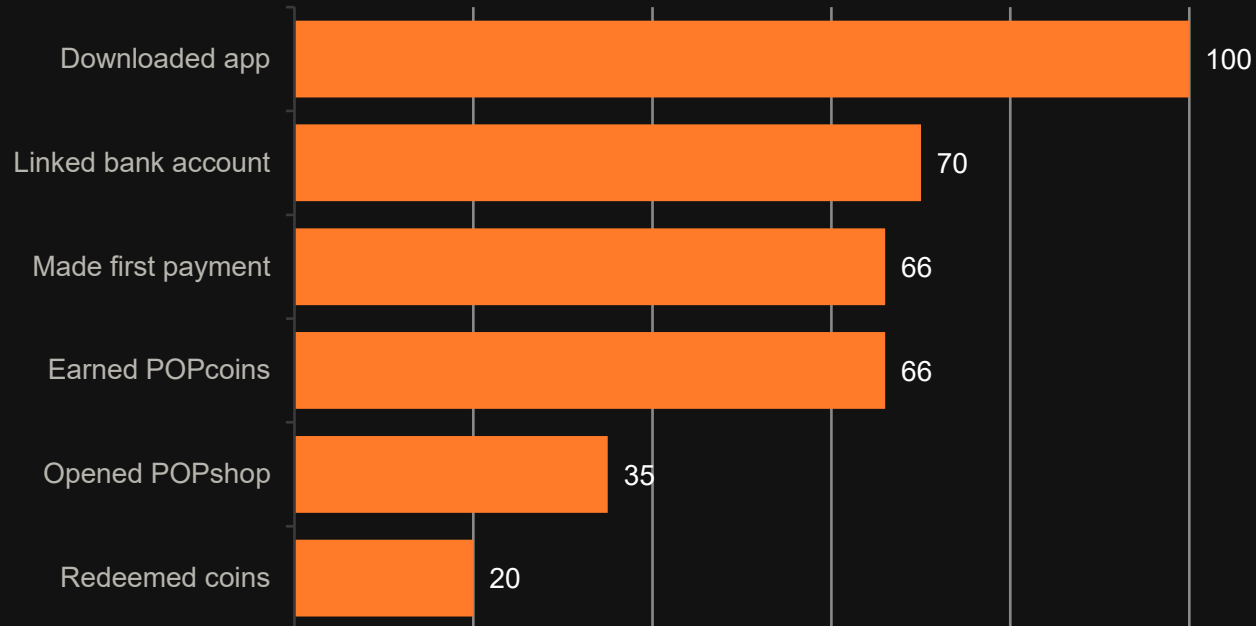
Sources: [POP UPI company profile](#) · [Inc42](#)

Where the reward loop breaks

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

HYPOTHESIS

Illustrative funnel - not measured POP data



Open question: why do users who earn coins not click through to shop - passive habit, or discovery friction?

Directionally reasoned from typical UPI onboarding drop-off patterns, not sourced from POP's actual funnel.

HYPOTHESIS

Bank-linking drop-off

The highest-friction onboarding step likely loses the most users before their first payment.

Dormant coin balances

Users earn POPcoins automatically but never open POPshop to actually redeem them.

Catalog discovery friction

No visible personalization across 200+ brands makes browsing feel undirected.

No urgency mechanic

Coins don't appear to nudge or prompt - so redemption keeps getting deferred.

Two bets to close the redemption gap

The funnel breaks between earning and redeeming. Both bets attack that same gap from different angles.

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

BET 1

PROPOSED

P0

Instant Micro-Redemption

Removes the fundamental earning → redemption friction

Earning and redemption live in two separate flows today - payment is instant, but spending coins means opening a whole other app section. Collapsing that gap into a single moment removes the exact re-engagement barrier the funnel exposes.

HOW

- Apply POPcoins at partner D2C checkout - one-tap “Redeem now” on the payment success screen

CONSTRAINT

Needs NPCI-compliant settlement reconciliation (refunds, failed debits, ledger) - pilot with partner merchants first.

Targets the 66 → 35 drop from “Earned” to “Opened POPshop”

BET 2

PROPOSED

P1

Smart Coin Nudges

Improves discovery once the core redemption path works

Dormant balances happen because nothing pulls users back with urgency or relevance. A passive reward needs an active reason to be spent - timing and personalization create that reason.

HOW

- Push notification when accumulated coins cross a useful redemption threshold
- Personalized brand suggestions based on past shopping behavior
- Weekly “coins waiting” digest for unredeemed balances

Targets the 35 → 20 drop from “Opened” to “Redeemed”

From measurement to redemption lift

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

PROPOSED

DAYS 1-30

Instrument & baseline

- Track onboarding drop-off & POPshop click-through
- Establish baseline for every KPI below

DAYS 31-60

Ship Bet 1 - Instant Micro-Redemption

- A/B test checkout-level redemption vs POPshop-only
- Measure lift in 30-day coin redemption rate

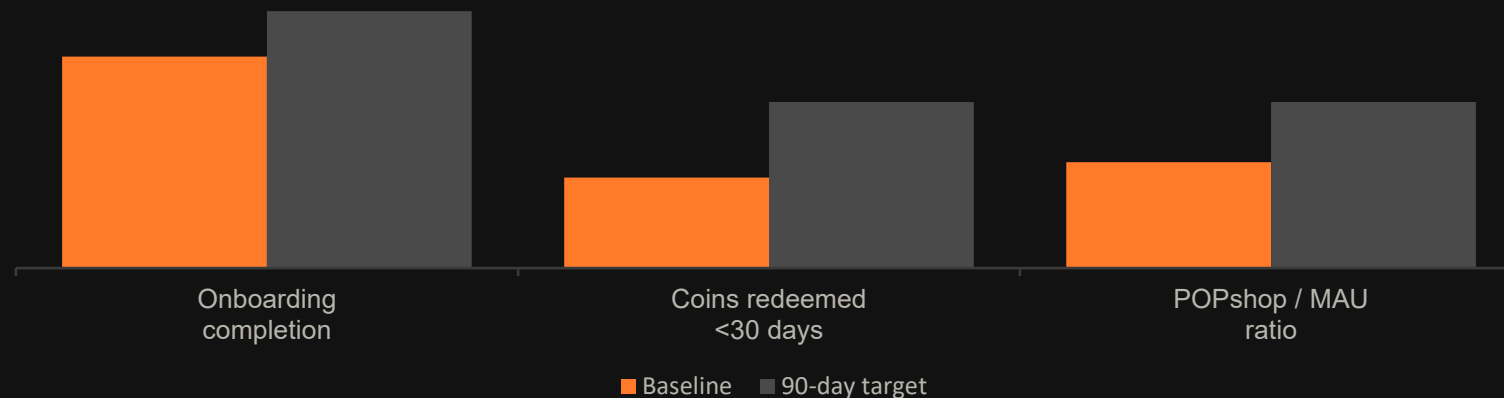
DAYS 61-90

Ship Bet 2 - Smart Coin Nudges

- Roll out threshold-based & personalized nudges
- Measure dormant-balance reduction

KPI FRAMEWORK

HYPOTHESIS



Baseline → Target: Onboarding 70%→85% · Redemption <30d 30%→55% · POPshop/MAU 35%→55% (illustrative - not POP's published metrics)

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Success here isn't more downloads - it's more users reaching the redemption moment.

- **PRIMARY**
30-day coin redemption rate
- **SECONDARY**
POPshop conversion rate
- **GUARDRAIL**
Support tickets / 1,000 transactions
- **ROLLBACK TRIGGER**
If partner checkout drop-offs rise, revert to POPshop-only redemption

Where POP stands - and against whom

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED

STRENGTHS

FACT

- Zero cost to the user - rewards funded by brand partners, not POP's margin
- Predictable fixed 2% - builds trust versus gamified competitors
- Wide redemption network - 200+ D2C brands across categories

PAIN POINTS → FIXES

HYPOTHESIS

PROPOSED

- **Redemption requires app-switching**
→ *Enable instant checkout-level redemption*
- **No urgency mechanic on coins**
→ *Add threshold-based & personalized nudges*
- **Bank-linking may be the highest-friction onboarding step**
→ *Streamline with account-aggregator/pre-fill flows*

COMPETITIVE POSITIONING

HYPOTHESIS

Dimension	POP	PhonePe	Google Pay	CRED
Reward type	Fixed %	Scratch card	Scratch card	Coin-based
Reward funding	Brand-funded	Mixed	Mixed	Brand-funded
Predictability	High	Low	Low	Medium
Redemption ease	Separate app step	In-wallet	In-wallet	In-app store

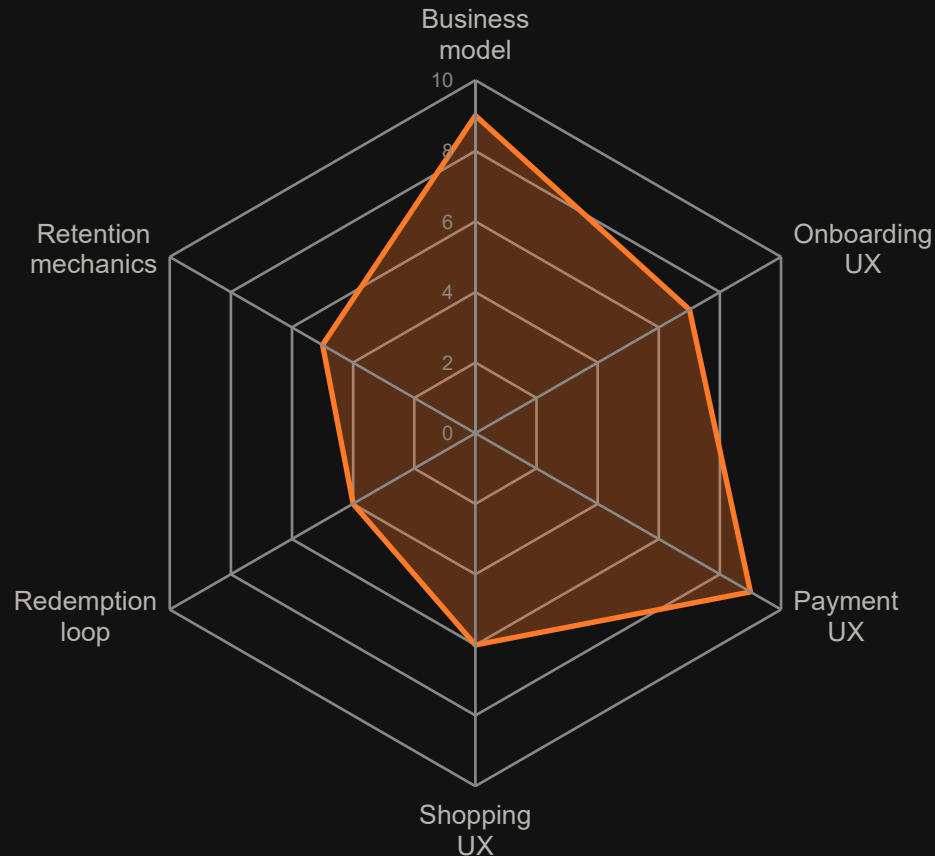
General positioning based on publicly known reward mechanics - not a verified feature audit.

Sources (Strengths): [POP UPI company profile](#) · [Inc42](#)

The reward model is differentiated. Redemption is the opportunity.

HYPOTHESIS

● FACT ● ASSUMPTION ● HYPOTHESIS ● PROPOSED



Single self-scored series (POP UPI only) across 6 dimensions, scale 0–10. Illustrative teardown scorecard - not a published audit.

POP's brand-funded rewards model appears differentiated from gamified UPI competitors, based on public information. But the product experience likely has a real gap: users earn coins instantly at the payment moment, then have to consciously re-engage in a separate flow to spend them. That gap looks like where retention leaks.

- Business model: appears differentiated - brand-funded rewards, not user-funded
- Payment experience: fast, familiar, low friction
- Redemption experience: the weak link - an avoidable gap between earning and spending
- Both proposed bets target that exact gap, each with a measurable KPI attached

PROPOSED

Fix the redemption loop, and POP's reward engine could compound instead of leaking.